ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

CONSOLIDATED FINANCIAL STATEMENTS

DECEMBER 31, 2023

Report of independent auditors

To the General Partner of EnCap Energy Capital Fund XII-C, L.P.

Opinion

We have audited the accompanying consolidated financial statements of EnCap Energy Capital Fund XII-C, L.P. and its subsidiary (together the "Partnership"), which comprise the consolidated statement of assets, liabilities and partners' capital as of December 31, 2023, and the related consolidated statements of operations, of changes in partners' capital, and of cash flows for the period from March 29, 2023 (inception) to December 31, 2023, including the related notes (collectively referred to as the "consolidated financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Partnership as of December 31, 2023, and the results of its operations, changes in its partners' capital, and its cash flows for the period from March 29, 2023 (inception) to December 31, 2023 in accordance with accounting principles generally accepted in the United States of America.

Basis for opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the consolidated financial statements* section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of management for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.

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Report of independent auditors (continued)

To the General Partner of EnCap Energy Capital Fund XII-C, L.P.

Auditors' responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers

March 28, 2024

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		December 31, 2023
ASSETS		
Investment in EnCap Energy Fund XII Feeder Blocker, L.P., at fair value	$	1,113,756
Cash and cash equivalents		1,201
Total assets	$	1,114,957
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	81,459
Total liabilities		81,459
Partners' capital:		
General Partner		—
Limited Partners		1,033,498
Total partners' capital		1,033,498
Total liabilities and partners' capital	$	1,114,957

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF OPERATIONS

PERIOD FROM INCEPTION (March 29, 2023) TO DECEMBER 31, 2023

Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.:	
Investment income	$ 7,119
Investment expense	(10,124)
Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	(3,005)
Investment income:	
Interest	1,375
Total investment income	1,375
Expenses:	
General and administrative	81,633
Total expenses	81,633
Net investment loss	(83,263)
Unrealized gain (loss) on investments allocated from EnCap Energy Fund XII Feeder Blocker, L.P.:	
Net change in unrealized appreciation on investments	298,408
Allocation of unearned carried interest	(57,839)
Net unrealized gain on investments allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	240,569
Income before provision for income taxes	157,306
Provision for income tax allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	47,458
Net increase in partners' capital resulting from operations	$ 109,848

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at March 29, 2023 (date of inception)	$ —	$ —	$ —
Capital contributions	—	923,650	923,650
Net increase in partners' capital resulting from operations	—	109,848	109,848
Partners' capital at December 31, 2023	$ —	$ 1,033,498	$ 1,033,498

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CASH FLOWS

PERIOD FROM INCEPTION (March 29, 2023) TO DECEMBER 31, 2023

Cash flows from operating activities:		
Net increase in partners' capital resulting from operations	$	109,848
Adjustments to reconcile increase in partners' capital resulting from operations to net cash used for operating activities:		
Purchase of EnCap Energy Fund XII Feeder Blocker, L.P.		(923,650)
Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.		3,005
Change in unrealized appreciation on investment		(298,408)
Allocation of unearned carried interest		57,839
Provision for income tax allocated from EnCap Energy Fund XII Feeder Blocker, L.P.		47,458
Change in operating assets and liabilities		
Increase (decrease) in due to affiliate		81,459
Net cash used for operating activities		(922,449)
Cash flows from financing activities:		
Contributions from partners		923,650
Net cash provided by financing activities		923,650
Net change in cash and cash equivalents		1,201
Cash and cash equivalents, beginning of period		—
Cash and cash equivalents, end of period	$	1,201

The accompanying notes are an integral part of these consolidated financial statements.

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XII-C, L.P. (the “Partnership”), a Cayman exempt limited partnership, was formed on March 29, 2023 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund XII, L.P. (“Fund XII”), a Delaware limited partnership, indirectly through its equity and debt interest in EnCap Energy Fund XII Feeder Blocker, L.P. ("Blocker"). Blocker, a 21.88% subsidiary of the Partnership, was formed for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund XII. Through its investment in Blocker, the Partnership also holds a proportionate share of notes payable (accruing interest at 10.5% per annum). Notes payable outstanding at December 31, 2023 is $696,399 which is used to fund the Blocker's interest in Fund XII. Fund XII was formed on May 17, 2023 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the “Partnership Agreement”) dated March 29, 2023, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XII GP, L.P. (“General Partner”), a Delaware limited partnership, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership held its initial closing on June 30, 2023 and has not held its final close. There are 4 investors owning the limited partnership interests (“Limited Partners”) in the Partnership. The Limited Partners’ total capital commitments to the Partnership are $2.8 million. The Limited Partners’ total outstanding commitments as of December 31, 2023 were approximately $1.9 million. The ratio of total contributed capital to total committed capital is 33.0%.

Through its investment in Blocker, the Partnership indirectly invests in all corresponding investments in Fund XII and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund XII partnership agreement. The financial statements of Fund XII, including the Schedule of Investments, are attached to this report and should be read with the Partnership’s consolidated financial statements. The Partnership’s funded ownership interest in Fund XII is 0.1559%. EnCap Energy Fund XII-C Feeder Blocker, L.P. (“C Blocker”), a wholly-owned subsidiary of the Partnership, was formed on April 11, 2023, for the purpose of being a limited partner of and holding record title to the 21.88% limited partner interest in Blocker.

The Partnership shall be dissolved upon the dissolution of Fund XII or the expiration of a 10-year period commencing the date of final closing of Fund XII, unless the Limited Partner Advisory Committee and General Partner agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification (“ASC”) 946, Financial Services – Investment Companies.

Consolidation

C Blocker is included in the accounts of the Partnership. All intercompany balances and transactions have been eliminated from the consolidated financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the consolidated financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of December 31, 2023, the investment in Blocker is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund XII's valuation policies are discussed in Note 2 of the Fund XII financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund XII is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund XII's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund XII may not invest more than 25% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund XII to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund XII may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund XII in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund XII might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund XII. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

The General Partner may elect to hold multiple closings in order to admit additional Limited Partners to the Partnership following the initial closing or to accept increased commitments from existing Limited Partners, in each case on substantially the same terms as the initial Limited Partners' commitments were accepted, for eighteen months following the initial closing. The value of the Partnership's investments during this eighteen month period may fluctuate, including by significantly increasing in value. Regardless of any increase in value of the Partnership's investments, Limited Partners admitted to the Partnership in subsequent closings will be required to contribute to the Partnership an amount equal to the amount such Limited Partner would have contributed to make investments and pay expenses (including the management fee) if such Limited Partner's commitment had been made on the initial closing, plus, in certain cases, an interest component. As a result, Limited Partners who acquired interests prior to the admission of later admitted Limited Partners may be diluted in respect of any appreciation of the Partnership's investments during the period prior to the later admitted Limited Partners' admission to the extent that the appreciation during such period is greater than such interest component. Although any such new Limited Partner will be required to contribute its pro rata share of previously made capital contributions, there can be no assurance that this contribution will reflect the fair value of the Partnership's existing investments at the time of such contributions.

Refer to the EnCap Energy Capital Fund XII private placement memorandum for risks and consideration related to the Partnership.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of December 31, 2023, the Partnership has cash in its Fidelity money market account of $1,201. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund XII's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Partnership's financial statements include the Partnership's allocable share of the provisions for income tax expense and income taxes payable by its subsidiary, Blocker. In accordance with the FASB guidance "Income Taxes", Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

Income taxes paid and payable by Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred.

The Partnership is not subject to income taxation; the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2023. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

On August 16, 2022, the Inflation Reduction Act ("IRA") was signed into law and included various income tax related provisions with effective dates generally beginning in 2023. Among the enacted provisions are a 15% corporate alternative minimum tax ("CAMT") and several new and expanded clean energy credits and incentives. The CAMT will be assessed on applicable corporations with an average annual adjusted financial statement income that exceeds $1 billion for the preceding three consecutive years. The CAMT requires complex computations to be performed that were not previously required in U.S. tax law, significant judgments to be made in interpretation of the provisions of the IRA, significant estimates in calculations, and the preparation and analysis of information not previously relevant or regularly produced. The Partnership has considered the effects of the CAMT on the realizability of its deferred tax assets, carryforwards and other tax credits. CAMT did not have any impact on Blocker's financial statements for the year ending December 31, 2023.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of December 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

At December 31, 2023, the Partnership owed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $81,633 for general and administrative expenses.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the period from inception (March 29, 2023) to December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment loss ratio	-22.4%
Expense ratios:	
Operating expenses	33.7%
Unearned incentive allocation	11.7%
Operating expenses and unearned incentive allocation ratio	45.4%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	33.9%

The net investment loss and expense ratios are calculated for the Limited Partners taken as a whole. For the period from inception (June 9, 2023) to December 31, 2023, the net investment loss and operating expense ratios include organization costs of $5,457, which is a nonrecurring charge. All recurring expenses have been annualized. The net investment loss and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations as of each measurement date. Although this disclosure is required by accounting principles generally accepted in the United States, the internal rate of return, at this early point in the Partnership's existence, may not be an appropriate measure of performance due to the short duration of the investment activities and the long-term nature of the Limited Partners' investment in the Partnership. In addition, future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

NOTE 7 – SUBSEQUENT EVENTS:

The Partnership held additional closes subsequent to December 31, 2023, the most recent on March 1, 2023, with total additional commitments of $4.3 million from 2 investors.

Through March 28, 2024, the date these consolidated financial statements were available for issuance, capital contributions of $914,041 were made to the Partnership by the Limited Partners and contributions to Fund XII of $914,041 were made by the Partnership.

ENCAP ENERGY CAPITAL FUND XII, L.P.

FINANCIAL STATEMENTS

DECEMBER 31, 2023

Report of Independent Auditors

To the General Partner of EnCap Energy Capital Fund XII, L.P.

Opinion

We have audited the accompanying financial statements of EnCap Energy Capital Fund XII, L.P. (the "Partnership"), which comprise the statement of assets, liabilities and partners' capital, including the schedule of investments, as of December 31, 2023, and the related statements of operations, of changes in partners' capital and of cash flows, including the related notes for the period from May 17, 2023 (date of inception) to December 31, 2023 (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnership as of December 31, 2023, and the results of its operations, changes in its partners' capital and its cash flows for the period from May 17, 2023 (date of inception) to December 31, 2023 in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for one year after the date the financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers LLP

March 28, 2024

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		December 31, 2023
ASSETS		
Investments, at fair value (cost $487,432,512)	$	678,839,000
Cash and cash equivalents		104,954,768
Total assets	$	783,793,768
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	1,743,445
Due to Limited Partners		8,067
Total liabilities		1,751,512
Partners' capital:		
General Partner		35,594,135
Related Limited Partners		31,734,591
Limited Partners		714,713,530
Total partners' capital		782,042,256
Total liabilities and partners' capital	$	783,793,768

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

SCHEDULE OF INVESTMENTS

DECEMBER 31, 2023

	% owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
EnCap DE IV Co-Invest, LLC	77.8%	$ 273,703,098	$ 368,730,000	47.1%
EnCap GM III Co-Invest, LLC	57.1%	206,914,414	303,294,000	38.8%
Ridge Runner Resources II, LLC	97.5%	4,875,000	4,875,000	0.6%
Black Swan Oil & Gas II Holdings, LLC	97.0%	1,940,000	1,940,000	0.2%
Total investments		$ 487,432,512	$ 678,839,000	86.8%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF OPERATIONS

PERIOD FROM INCEPTION (May 17, 2023) TO DECEMBER 31, 2023

Investment income:	
Interest	$ 4,566,031
Total investment income	4,566,031
Expenses:	
Management fees	6,260,945
General and administrative	713,551
Organization costs	3,500,000
Total expenses	10,474,496
Net investment loss	(5,908,465)
Unrealized gain on investments:	
Net change in unrealized appreciation on investments	191,406,488
Net unrealized gain on investments	191,406,488
Net increase in partners' capital resulting from operations	$ 185,498,023

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Related Limited Partners	Limited Partners	Total
Partners' capital at May 17, 2023 (date of inception)	$ —	$ —	$ —	$ —
Capital contributions	—	23,953,180	572,591,053	596,544,233
Management Fees	—	—	(6,260,945)	(6,260,945)
Net increase in partners' capital resulting from operations (excluding management fees)	—	7,781,411	183,977,557	191,758,968
Incentive allocation	35,594,135	—	(35,594,135)	—
Partners' capital at December 31, 2023	$ 35,594,135	$ 31,734,591	$ 714,713,530	$ 782,042,256

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CASH FLOWS

PERIOD FROM INCEPTION (May 17, 2023) TO DECEMBER 31, 2023

Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 185,498,023
Adjustments to reconcile increase in partners' capital resulting from operations to net cash used for operating activities:	
Purchase of investments	(487,432,512)
Change in unrealized appreciation on investments	(191,406,488)
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	1,743,445
Increase (decrease) in due to Limited Partners	8,067
Net cash used for operating activities	(491,589,465)
Cash flows from financing activities:	
Contributions from partners	596,544,233
Net cash provided by financing activities	596,544,233
Net change in cash and cash equivalents	104,954,768
Cash and cash equivalents, beginning of period	—
Cash and cash equivalents, end of period	$ 104,954,768

The accompanying notes are an integral part of these financial statements.

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XII, L.P. (the "Partnership"), a Delaware limited partnership, was formed on February 27, 2023 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated May 17, 2023, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XII GP, L.P. ("General Partner"), a Delaware limited partnership, is the sole general partner for the Partnership. The Partnership held its initial closing on May 17, 2023 and has not held its final close. There are 125 investors owning the limited partnership interests ("Limited Partners") and 8 investors owning the related limited partnership interests ("Related Limited Partners" and collectively with the General Partner and Limited Partners, the "Partners"). The Related Limited Partners' and Limited Partners' total capital commitments to the Partnership are $72.9 million and $1,723.1 million, respectively. The Partners' total outstanding commitments as of December 31, 2023 were approximately $1,199.4 million. The ratio of total contributed capital to total committed capital is 33.2%. The Partnership has committed $1,090.3 million to portfolio companies, of which $602.8 million remains unfunded at December 31, 2023.

The Partnership shall be dissolved upon the expiration of a 10-year period commencing the date of final closing, unless the Limited Partner Advisory Committee and General Partner agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

As of December 31, 2023, the investments in EnCap DE IV Co-Invest, LLC ("DE IV") and EnCap GM III Co-Invest, LLC ("GM III") are excluded from the fair value hierarchy leveling as the fair value of these investments was measured at net asset value ("NAV") using the practical expedient. The total value of these investments is $672,024,000 as of December 31, 2023. The Partnership expects to realize the value remaining in these investments at the end of the terms of DE IV and GM III through distributions resulting from the liquidation of the remaining assets.

The Partnership's share of any underlying private equity investment holdings' investment in the securities of an issuer held by the private equity investment holdings which constitute greater than 5% of the Partnership's total net assets as of December 31, 2023 are:

Description	**Private equity investment holdings fair value**	**Partnership's proportionate fair value**
EnCap GM III Co-Invest, LLC		
Grayson Mill Holdings III, LLC	$ 530,609,000	$ 302,977,739
EnCap DE IV Co-Invest, LLC		
Double Eagle Energy Holdings IV, LLC	$ 474,090,000	$ 368,842,020

All other investments carried on the Statement of Assets, Liabilities and Partner's Capital are classified as level 3. Such investments total $6,815,000 as of December 31, 2023.

The following table summarizes the valuation methodology and significant unobservable inputs used for investments as of December 31, 2023. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	**Fair Value at December 31, 2023**	**Valuation Techniques(1)**	**Unobservable Inputs(2)**	**Range of Inputs (Weighted Average)**
Investments in Equity of Privately Held Companies	$ 6,815,000	Precedent Transactions	Recent transaction price	N/A
	$ 672,024,000 (3)	Income Approach / Discounted Cash Flow Analysis	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$62.02-$71.52
			NYMEX forward strip gas pricing ($/MMBTU)	$2.68 - $3.85
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	40% - 80% (70.3%)
		Value of Undeveloped Acreage (Upstream)	Price per acre	$ 30,000

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment;

current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

(3) These valuation methodologies and significant unobservable inputs include investments in Grayson Mill Holdings III, LLC and Double Eagle Energy Holdings IV, LLC which are held by the Partnership indirectly through its investments in GM III and DE IV.

During the period from inception (May 17, 2023) to December 31, 2023, purchases of Level 3 investments totaled $6,815,000. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the period from inception (May 17, 2023) to December 31, 2023, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 25% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

The General Partner may elect to hold multiple closings in order to admit additional Limited Partners to the Partnership following the initial closing or to accept increased commitments from existing Limited Partners, in each case on substantially the same terms as the initial Limited Partners' commitments were accepted, for eighteen months following the initial closing. The value of the Partnership's investments during this eighteen month period may fluctuate, including by significantly increasing in value. Regardless of any increase in value of the Partnership's investments, Limited Partners admitted to the Partnership in subsequent closings will be required to contribute to the Partnership an amount equal to the amount such

Limited Partner would have contributed to make investments and pay expenses (including the management fee) if such Limited Partner's commitment had been made on the initial closing, plus, in certain cases, an interest component. As a result, Limited Partners who acquired interests prior to the admission of later admitted Limited Partners may be diluted in respect of any appreciation of the Partnership's investments during the period prior to the later admitted Limited Partners' admission to the extent that the appreciation during such period is greater than such interest component. Although any such new Limited Partner will be required to contribute its pro rata share of previously made capital contributions, there can be no assurance that this contribution will reflect the fair value of the Partnership's existing investments at the time of such contributions.

Refer to the EnCap Energy Capital Fund XII private placement memorandum for risks and consideration related to the Partnership.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of December 31, 2023, the Partnership has cash in its Fidelity money market account of $104,954,768. The Partnership places its cash and cash equivalents with financial institutions, and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Organization Costs

Organization costs incurred during the development stage of the Partnership were expensed as incurred. During the period from inception (May 17, 2023) to December 31, 2023, the Partnership incurred and expensed organization costs of $3,500,000.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2023. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of December 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments during the period from inception (May 17, 2023) to December 31, 2023 are as follows:

	Contributions	Proceeds
Private equity investment holdings:		
EnCap DE IV Co-Invest, LLC	$ 273,703,098	$ —
EnCap GM III Co-Invest, LLC	206,914,414	—
Ridge Runner Resources II, LLC	4,875,000	—
Black Swan Oil & Gas II Holdings, LLC	1,940,000	—
	$ 487,432,512	$ —

Contributions during the period from inception (May 17, 2023) to December 31, 2023 to EnCap DE IV Co-Invest, LLC, included $11,001,020 of interest paid to an affiliate. See further discussion in Note 5.

Contributions during the period from inception (May 17, 2023) to December 31, 2023 to EnCap GM III Co-Invest, LLC, included $247,747 of interest paid to affiliates. See further discussion in Note 5.

NOTE 4 – ALLOCATIONS TO PARTNERS:

Net proceeds of the Fund's investments will be apportioned among the Fund's partners in the proportion a partner's commitment bears to the aggregate commitments to the Fund. The amount apportioned to the Related Limited Partners will be distributed to the Related Limited Partners and the amount apportioned to each Limited Partner will be distributed as a return of all investment costs, fees, and expenses until such time as the Limited Partners receive an 8% per annum compounded annually internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase in partners' capital resulting from operations was allocated between the General Partner, Related Limited Partners and Limited Partners in accordance with the allocation methodology described above. During the period from inception (May 17, 2023) to December 31, 2023, net increase in partners' capital resulting from operations allocated to the Related Limited Partners and Limited Partners was $7,781,411 and $142,122,477, respectively, and which includes unrealized incentive allocation to the General Partner of $35,594,135.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to the Management Fee Rate, as defined in the Partnership Agreement, of Limited Partner commitments or of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to the Management Fee Rate of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the period from inception (May 17, 2023) to December 31, 2023, the Partnership paid management fees of $6,260,945 to the General Partner.

During the period from inception (May 17, 2023) to December 31, 2023, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $373,386 for general and administrative expenses and $2,096,720 for organization costs. At December 31, 2023, the Partnership owed $340,165 to EnCap for general and administrative expenses and $1,403,280 for organization costs.

During June 2023, the Partnership funded its initial investment in EnCap DE IV Co-Invest, LLC, through an assignment of membership interest agreement with EnCap Energy Capital Fund XI, L.P. (“Fund XI”), an affiliate of the Partnership. The assignment agreement was approved by the Partnership’s Advisory Board. In accordance with the assignment agreement dated June 8, 2023, the Partnership paid $11,001,020 to Fund XI for accrued interest for the period of the initial investments by Fund XI to the date of the assignment agreement (June 8, 2023).

During June 2023, the Partnership funded its initial investment in EnCap GM III Co-Invest, LLC, through an assignment of membership interest agreement with Fund XI and EnCap Energy Capital Fund X, L.P. ("Fund X"), an affiliate of the Partnership. The assignment agreement was approved by the Partnership’s Advisory Board. In accordance with the assignment agreement dated June 9, 2023, the Partnership paid $247,747 to Fund XI and Fund X for accrued interest for the period of the initial investments by Fund XI and Fund X to the date of the assignment agreement (June 9, 2023).

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership’s underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership’s business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners’ Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the period from inception (May 17, 2023) to December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, “Financial Services – Investment Companies”:

Net investment loss ratio	-2.3%
Expense ratios:	
Operating expenses	3.3%
Unearned incentive allocation	8.2%
Operating expenses and unearned incentive allocation ratio	11.5%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	52.6%

The net investment loss and expense ratios are calculated for the Limited Partners taken as a whole. For the period from inception (May 17, 2023) to December 31, 2023, the net investment loss and operating expense ratios include organization costs of $3,500,000, which is a nonrecurring charge. All recurring expenses have been annualized. The net investment loss and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners’ capital account, net of all incentive allocations as of each measurement date. Although this disclosure is required by accounting principles generally accepted in the United States, the internal rate of return, at this early point in the Partnership's existence, may not be an appropriate measure of performance due to the short duration of the investment activities and the long-term nature of the Limited Partners’ investment in the Partnership. In addition, future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

NOTE 8 – SUBSEQUENT EVENTS:

The Partnership held additional closes subsequent to December 31, 2023, the most recent on March 1, 2024, with total additional commitments of $369.7 million from 52 investors ($358.6 million from the Limited Partners and $11.1 million from Related Limited Partners).

Through March 28, 2024, the date these financial statements were available for issuance, net capital contributions of $2,105,969 and $30,652,193 were returned to the Related Limited Partners and Limited Partners, respectively, from the Partnership and contributions to investments of $74,096,000 were made by the Partnership.